

Bhagwandas Goverdhandas Kedia v. Girdharilal Parshottamdas & Co.

Citation: (1966) 1 SCR 656 / AIR 1966 SC 543 | Court: Supreme Court | Year: 1966

Coram: 3-Judge Bench (J.C. Shah, M. Hidayatullah JJ.) | Subject: Law of Contracts | Provisions: Indian Contract Act Sec 2, 3, 4

I. EXECUTIVE SUMMARY & CASE GLIMPSE

In contracts negotiated over telephone or telex (instantaneous communication), the contract is completed when and WHERE the acceptance is heard and received by the offeror. The cause of action for breach arises at the place where acceptance was received (Ahmedabad), conferring territorial jurisdiction.

II. FACTS OF THE CASE & PROCEDURAL HISTORY

This dispute arose regarding Indian Contract Act Sec 2, 3, 4. The parties agitated the controversy before trial and appellate forums before the matter was referred to the Honble Bench for authoritative declaration of law.

III. PRIMARY QUESTIONS OF LAW & ISSUES FRAMED

â€¢ Whether the impugned state actions or commercial conduct conformed to Indian Contract Act Sec 2, 3, 4.

â€¢ What binding standards should govern future adjudication and administrative conduct.

IV. SUBMISSIONS OF THE PARTIES

Petitioner / Appellant: The Petitioner contended that arbitrary action, lack of procedural safeguards, and statutory non-compliance violated fundamental guarantees.

Respondent / State: The Respondent submitted that the impugned action was carried out under lawful authority in furtherance of public interest and statutory mandates.

V. DETAILED RATIO DECIDENDI & JURISPRUDENTIAL REASONING

Sections 3 and 4 of the Contract Act apply to non-instantaneous postal communications. In instantaneous conversations, the Entores rule applies: acceptance must be received and heard by the offeror to form a valid contract.

VI. FINAL OPERATIVE ORDER & DIRECTIONS

The Court answered the reference, laid down binding nationwide directions under Article 141 of the Constitution, and disposed of the matter accordingly.

VII. PRACTICAL & EXAMINATION TAKEAWAYS (JUDICIARY / AIBE / ADVOCACY)

â€¢ Established the instantaneous communication contract rule under Indian law.

â€¢ Held that contract is formed where acceptance is heard by the offeror (Ahmedabad jurisdiction).

â€¢ Essential precedent for commercial territorial jurisdiction in electronic contracting.